

Ian Stuart

Chief Executive, HSBC UK Bank plc

Dame Meg Hillier MP

Chair of the Treasury Committee

Via email: treascom@parliament.uk

26 February 2025

Dear Dame Meg,

Thank you for your letter of 10 February 2025 regarding the impact of IT failures over the past two years. The need to be operationally resilient and recover quickly from all types of incidents is increasingly important as the wider financial sector becomes more dynamic, complex, and reliant on technology and third parties. Recent industry IT failures continue to focus our attention on the importance of ensuring resilience is an integral requirement in the way we design, change, and maintain our technology infrastructure and operational processes. No major organization can be immune to IT failures and other incidents. However, we aim to respond quickly, including communicating to our customers and recovering services within our defined impact tolerance levels to avoid any considerable customer detriment, where possible.

The time period covered by the data below is 01 January 2023 to 31 January 2025. HSBC UK Bank plc have defined IT failure in our response as an outage that has impacted a significant number of customers over a prolonged period of time. In addition, we have included for your awareness other IT incidents that due to a degradation of service impacted our customers from leveraging their channel of choice. These other IT incidents, which includes all Payment Services Directive (PSD2) reportable incidents plus any of our highest severity IT incidents that did not trigger PSD2 reporting, noted internally as Severity 1 and 2 incidents¹, we notified at the time to the PRA and FCA.

As a regulatory requirement, all Payment Service Providers (PSPs) are obliged to notify the FCA where operational or security events occur which have - or will probably have - an adverse impact on the integrity, availability, confidentiality, authenticity, and/or continuity of payment related service. All PSPs are required to publish the volume of incidents occurring in the previous quarter, alongside a rolling 12-month view, to provide consumers with an understanding of the service being provided. HSBC UK Bank plc has reduced our number of reportable incidents over the two-year period by 20% (See Annex 2).

Turning to your questions directly:

- 1. Number of instances and amount of time in total hours of IT failures, including the channel impacted:** I can confirm between January 2023 and January 2025, HSBC UK Bank plc had one IT failure totaling 13.5 hours, channel breakdown below.

¹ The severity of each incident is assessed on a case-by-case basis and determined on the potential and known impact at the time of the incident. Severity 1s and 2s are classified based on the criticality of the service impacted, the significance of the disruption to the service across the HSBC Group, magnitude of the disruption and widespread negative exposure.

HSBC UK Bank plc

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Registered in England number 9928412. Registered Office: 1 Centenary Square, Birmingham, B1 1HQ

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	Channel							
	App	Web	Branch	ATM	Cards	Telephony	Payments	Open Banking
Duration Unavailable Service (hrs)*	13.5	13.5	0	0	0	0	0	0

For other IT incidents, HSBC UK Bank plc had 31² in-scope instances that impacted customers through degradation of service, totaling 162.5 hours in aggregate across all channels impacted. In the channel break down below, not all channels were impacted during each incident, as a result, customers could have leveraged other service channels.

	Channel							
	App	Web	Branch	ATM	Cards	Telephony	Payments	Open Banking
Duration Unavailable Service (hrs)*	45.0	53.5	0.0	1.5	30.5	8.0	67.5	0.0

*HSBC added two channels, Payments, and Open Banking.³

- 2. Number of customers affected by each outage** was 1,620,000 for one IT failure. The other in-scope IT incidents resulting in degraded service impacted in aggregate 1,560,863 customers. It should be noted that these numbers do not necessarily reflect unique customer impact, as the same customer could have experienced impact in multiple incidents if they were attempting to utilise the service during the time of disruption.
- 3. Amount of compensation paid to customers due to IT failures over the last two years** totaled £170,251. The amount paid for other in-scope IT incidents where customers experienced degraded service was £62,446.
- 4. The reason for the one incident caused by IT failure** was a change error. For the other in-scope IT incidents that caused degraded service, the primary reasons for disruption were IT change errors (48%), hardware or network issues (23%), incidents caused by third-party suppliers (23%) and Distributed Denial of Service (DDoS) attacks (6%). A full breakdown of the reasons is included in Annex 1.

The regulators asked for advanced sight of this letter, which we sent them in draft on 25 February.

I hope this information is helpful to the committee.

Yours sincerely,



² Reported incident count does not include the incident from 11FEB25, where Retail and Business customers experienced intermittent unavailability of App and Web services for a duration of 90 mins.

³

Some incidents have multiple channel impact, therefore, the sum of the breakdown by channel will be greater than the total duration of outage for these incidents

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Annex 1: Description of the reason for those failures

Outage caused by an IT Failure

Date	Incident	Reason for failure	Duration in hours⁴	Customers Impacted	Channels impacted
24/11/2023	Retail customers experienced issues with accessing web and mobile applications	A combination of defects caused by a change in the mobile application, incompatible software versions and server settings caused issues that led to services being impacted	13.5	1,620,000	App, Web

Other in-scope IT Incidents caused by HSBC

Date	Incident	Reason for failure	Duration in hours⁴	Customers Impacted	Channels impacted
13/01/2023	Retail customers faced difficulties when attempting to pay non-HSBC customers they had saved in their banking applications	An error in the implementation of a new fraud rule for paying new non-HSBC beneficiaries	10.0	9,688	Payments, Web
15/01/2023	Retail customers experienced intermittent logon issues to web and mobile application	Expiry of security component responsible for encrypted connection between web servers and web browsers	4.0	39,960	App, Web
18/01/2023	Business customers experienced delay in processing of their payment files	Defect in the database which was responsible for processing payments	5.0	20	Payments
23/02/2023	Retail customers were experiencing issues with authentication for transactions	An incompatible configuration change made to a network security device	2.5	16,000	Cards, Payments
25/04/2023	First Direct customers experienced temporary degradation and errors when using web and mobile applications	The release of incompatible software to the banking platform	3.0	122,238	App, Web

⁴ Duration of incident is rounded to the nearest 0.5hrs

Date	Incident	Reason for failure	Duration in hours ⁴	Customers Impacted	Channels impacted
02/05/2023	Retail and business customers faced intermittent issues accessing digital services and performing e-commerce transactions	DDoS attack on HSBC systems. As a result, increased traffic created delays to customers being able to logon	1.0	216,320	App, Web
05/05/2023	Business customers experienced temporary degradation and errors when using internet banking	An incompatible configuration change in the banking platform was introduced	1.0	4,000	Web
13/05/2023	Retail customers were intermittently unable to purchase goods online using their credit or debit cards	A configuration change prevented the authentication service from operating in one of the data centres	2.5	5,700	Cards
22/05/2023	Business customers experienced delays in inbound and outbound file processing	Following change activity, a maintenance job was not enabled, which impacted our ability to process files	5.0	269	App
25/05/2023	Retail and Business customers experienced internet banking logon issues	An incompatible configuration change in the banking platform was introduced	11.5	36,587	App, Cards, Payments, Web
05/06/2023	Retail customers experienced intermittent transaction authentication issues	Insufficient network capacity to handle large data transfer in parallel with peak customer activity	4.0	5,000	Web
07/06/2023	Business customers experienced logon issues with web application	A change caused a mismatch in application versions between data centres	3.0	5,000	Web
19/06/2023	Business customers' payments processing was delayed	A change in the payments rule caused a delay of the payment processing	18.5	174	Payments
10/07/2023	Business customers experienced delays in processing of payment files	Issue with database performance led to delays in processing of the payment files	3.5	408	Payments
07/10/2023	ATMs in the UK were unavailable to customers	Incorrect configuration setting after a network change was implemented	1.5	6,877	ATM

⁴ Duration of incident is rounded to the nearest 0.5hrs

Date	Incident	Reason for failure	Duration in hours ⁴	Customers Impacted	Channels impacted
13/10/2023	Retail customers were intermittently unable to make payments and transfers using mobile banking platform	Implementation of new security functionality was deployed incorrectly	0.5	18,000	App, Payments
16/10/2023	Business customers experienced slowness accessing the web application	A change was implemented which resulted in traffic being transferred to a single data centre as opposed to the intended dual data centres configuration	2.5	1,599	Web
20/02/2024	Business customers experienced intermittent mobile application logon issues	Failure of a key network component in a data centre	7.5	101,453	App
06/03/2024	Business customers unable to access web banking and app service	A change in the banking platform caused an error in the archival process which degraded the service	2.0	19,300	App, Web
17/04/2024	Business customers experienced payment rejections when they sent their files for processing	A defect with the hardware components resulted in required fields for payment processing not being extracted	2.0	40	Payments
04/05/2024	Retail customers had issues logging into their accounts for both web and mobile applications	Experienced a DDoS attack on HSBC systems. As a result, increased traffic created delays to customers being able to logon	6.0	427,154	App, Web
28/06/2024	Retail customers had issues logging into their accounts for both web and mobile applications	A combination of incompatible software versions and suboptimal server power setting degraded service availability	2.5	330,000	App, Web, Payments
27/01/2025	Cancellation of business customers' future dated payment instructions	Incorrect deployment of a change	0.5	391	Web
28/01/2025	Business customers' future dated payments processed before the requested due date	Incorrect deployment of a change	0.5	15	Web

⁴ Duration of incident is rounded to the nearest 0.5hrs

Other IT Incidents caused by Third Party Suppliers

Date	Incident	Reason for failure	Duration in hours ⁴	Customers Impacted	Channels Impacted
25/01/2023	Retail customers faced intermittent issues when making online payments to retailers, and transfers to digital wallets from Visa debit cards	A change made by the third-party	11.5	49,393	Cards, Payments
21/03/2023	All UK customers were unable to call contact centres; and branches were unable to call customers for scheduled appointments	A street-wide issue with a telecommunications provider	5.5	3,567	Telephony
03/07/2023	Retail customers' card Point of Sale and non- HSBC ATM's transactions were incorrectly declined	Third- party application defect	2.5	109,272	Cards
20/09/2023	UK customers across all brands were unable to reach an agent on the customer service line	Change performed by a third party on the telephony network	2.5	2,366	Telephony
28/06/2024	Business customers experienced issues logging into Web and mobile application	Streetwide issue with a critical third-party provider	2.0	30,000	App, Web
18/07/2024	Business customers experienced delays in processing of CHAPS payments	SWIFT streetwide issue created an incorrect software configuration within the SWIFT environment	0.0	32	Payments
19/07/2024	Global CrowdStrike incident	Multiple servers impacted globally due to an incorrect CrowdStrike impacting the Microsoft windows platform (streetwide issue)	38.0	40	No channel impact

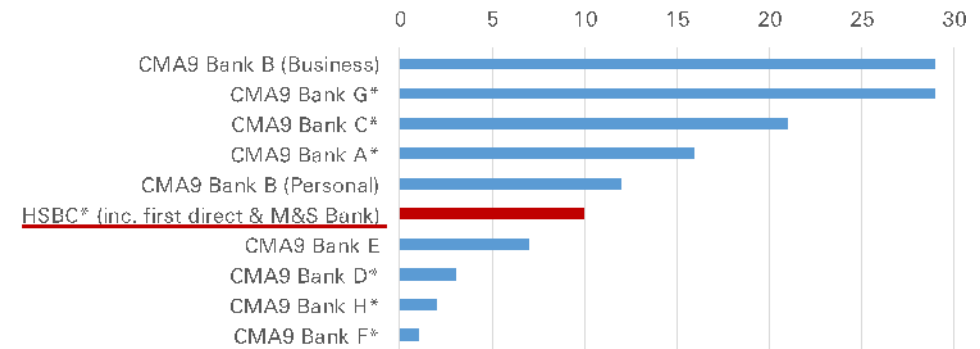
⁴ Duration of incident is rounded to the nearest 0.5hrs

Annex 2: PSD2 Major Incident Reporting⁵

All Payment Service Providers (PSPs) are obliged to notify the FCA where operational or security events occur which have - or will probably have - an adverse impact on the integrity, availability, confidentiality, authenticity and/or continuity of payment related service.

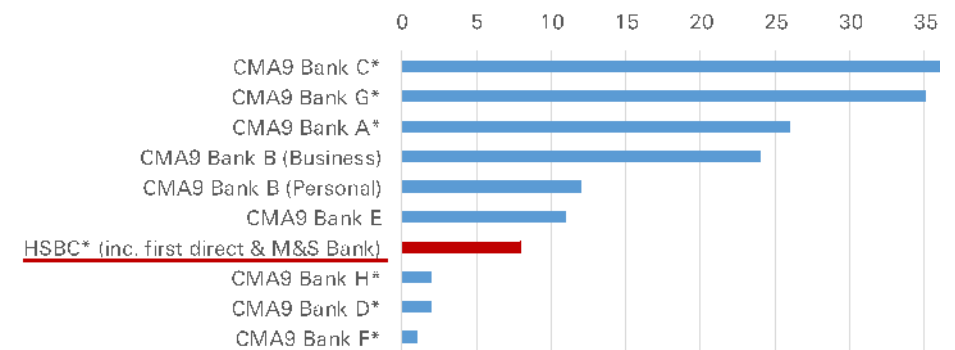
CMA9 comparison: 12-month (01JAN23 – 31DEC23)-Number of Reportable Incidents

Payment Service Provider	Total	Banking services impacted		
		Telephone	Mobile	Internet
CMA9 Bank B (Business)	29	0	6	6
CMA9 Bank G*	29	2	4	6
CMA9 Bank C*	21	2	4	9
CMA9 Bank A*	16	5	11	11
CMA9 Bank B (Personal)	12	0	5	3
HSBC* (inc. first direct & M&S Bank)	10	0	5	7
CMA9 Bank E	7	7	7	7
CMA9 Bank D*	3	0	3	3
CMA9 Bank H*	2	1	2	1
CMA9 Bank F*	1	0	1	1



CMA9 comparison: 12-month (01JAN24 – 31DEC24)-Number of Reportable Incidents

Payment Service Provider	Total	Banking services impacted		
		Telephone	Mobile	Internet
CMA9 Bank C*	36	7	14	10
CMA9 Bank G*	35	4	8	8
CMA9 Bank A*	26	9	11	13
CMA9 Bank B (Business)	24	1	5	12
CMA9 Bank B (Personal)	12	1	6	8
CMA9 Bank E	11	11	11	11
HSBC* (inc. first direct & M&S Bank)	8	0	5	4
CMA9 Bank H*	2	0	1	1
CMA9 Bank D*	2	0	2	2
CMA9 Bank F*	1	1	1	1



* Business and Personal Banking numbers are consolidated by the relevant bank into one data set, mirroring HSBC's reporting.

⁵ Source: CMA9 Banks Public Website information